B. MAHATMA GANDHI NATIONAL RURAL EMPLOYMENT GUARANTEE ACT (MGNREGA)

A sharp pickup in rural wages was seen after the rural employment guarantee programme (assuring 100 days of employment to every household whose adult members volunteer to do unskilled manual work) was enacted. MGNREGA may have contributed to the bargaining power of rural workers, but careful econometric studies suggest that it accounts for only a small fraction of the rural wage increase, and indeed, any effect is waning. That said, the indexation of MGNREGA wages suggests its effects in pushing rural wage inflation will not disappear entirely.

C. RURAL LIQUIDITY AND CREDIT

There has been an increase in liquidity flowing to the agricultural sector, both from land sales, as well as from a rise in agricultural credit. More availability of funds to the farmer has fostered substantial private investment in agriculture, but may also have pushed up rural wages.

D. LABOUR SHIFTING TO CONSTRUCTION

The labour force has been moving from agriculture to non-agriculture sectors, particularly construction. This would have the effect of pulling up rural labourers' wages (due to scarcity), especially in the labour supplying states. Total agricultural labour declined from 259 million in 2004-05 to 231 million in 2012-12. Agriculture, which accounted for 60 per cent of total employment in 1999-2000, now accounts for less than 50 per cent.

E. FEMALE PARTICIPATION

One of the more interesting possible explanations for the rise in rural wages is the changing female participation in rural markets. The female participation rate is down in all the age categories. Improved